

Non-Agricultural Commodities

This is again a pragmatic sector definition, which you are unlikely to find in the more purist literature on the subject. I have mixed energies and metals into one sector because they fit more together with each other than they do with the agricultural commodities (see Table 2.3).

The energy group is a bit limited in terms of instruments, but offers some interesting opportunities. The dominating theme in this sector is oil and its different products, where light sweet crude oil forms the core. This is essentially the product they pump out of the ground in various regions of the world with horrible climates and extremist leaders, such as Saudi Arabia, Texas, and Alaska. The main products from crude oil are heating oil, gasoil, and gasoline, all tradable and highly liquid in the futures market. These four markets usually have a fairly high correlation to each other, but at times the driving factors behind them work independently and their trends can decouple for extended periods. They are all very prone to long-term trends and well suited for a diversified futures trend-following method.

There is another highly interesting instrument within the energy sector as well, which is usually not very correlated to the oil theme, and that is the Henry Hub (HH) natural gas. This is a bit of a special animal and rather unique in its behaviour. Natural gas is mainly used for power generation and is pumped out of the ground, chiefly in Russia and the US. The unique property of this particular commodity is its persistently sharp contango, which means that the prices of contracts deliverable further in the future are more expensive than contracts that expire sooner, and that the term structure chart thereby is sloping upwards. Most commodities display somewhat of a

TABLE 2.3 Non-agricultural commodity futures

Name	Point value	Unit	Currency	Exchange
Gasoil	100	Tonne	USD	NYMEX
Crude oil	1,000	Barrels	USD	NYMEX
Heating oil	42,000	Gallons	USD	NYMEX
Natural gas (HH)	10,000	mmBTU	USD	NYMEX
Gasoline	42,000	Gallons	USD	NYMEX
Gold	100	Troy Ounces	USD	COMEX
Copper	25,000	Pounds	USc	COMEX
Palladium	100	Troy Ounces	USD	NYMEX
Platinum	50	Troy Ounces	USD	NYMEX
Silver	5,000	Troy Ounces	USc	COMEX